Siya, Strand 05 -- The Engine

Stamp: `STAMP` -- taken from the one clock at seating, never typed by counsel
Language: EN
Style: New Gauge, Door setting -- Civic and TAME carried through, in plain words for Sara and Keaton
Voice: Kyri (Grain Kyri 6) -- Claude Fable 5, counsel to Siya Fund
Shape: single-stranded -- about one thing; the composed reading lives in [`Siya, composed`]
Status: Living -- a foundation. Nothing here is investment, legal, or tax advice; nothing seats; every money move waits behind the gates in Strand 10 and the licensed team
Field only: names the family and household numbers; the seed projector withholds it
The one thing this strand holds: Sara's monthly income, after tax and living costs, is the fund's true engine, and it walks the basket to half public and half private in about six years.

Where the money comes from each month

Sara receives about USD 65,000 a month before federal tax, which is USD 780,000 a year. It is passive income: it arrives without her working for it that month. What the government takes from it depends on what kind of income it is, and that is a fact counsel has never seen and the loan memo already named as a gap.

Two readings bracket it, on counsel's reading of the 2026 federal schedule for a single filer with the standard deduction. If the income is ordinary, meaning interest, rents, or ordinary trust distributions, federal tax runs about USD 261,000 a year including the 3.8% investment-income tax. That is 33% of the gross, and the net is about USD 43,000 a month. If the income is qualified dividends and long-term gains, federal tax runs about USD 140,000, which is 18%, and the net is about USD 53,000 a month. The difference is USD 10,000 a month, which is why the character of the income is the first question for the tax attorney.

The state question, stated once

Keaton reads 2026 as a Nevada year, with no state income tax when the return is filed. The elder session read 2026 as a California part-year, with income earned before Sara's move on 2026-06-29 taxed by California and everything after treated as Nevada's, along with all of 2027 onward. If the elder reading holds, the first half of 2026's income, about USD 390,000, is California's to read, and a rough reading puts that between USD 29,000 and 40,000 for the one year. Counsel holds no opinion between the two readings. The attorney does, and what settles it is the documentation file the elder session described: the lease, the driver's license, the voter registration, the physicians, the banking, and the days on the ground.

What is left to deploy

Living costs of USD 8,000 to 12,000 a month cover rent, groceries, bills, and transportation, with Strand 08's rent inside that figure at about 3% to 4% of the gross. What remains is USD 31,000 to 45,000 a month, which is USD 370,000 to 540,000 a year. Counsel carries the midpoint, USD 450,000 a year, through the arithmetic below.

How the shape moves

Assume the shares return 6% a year and the private sleeves 6% a year, the line's interest is paid from the surplus while the line stands, and the surplus deploys as it arrives. Then the public sleeve's share of the whole reads about 71% after one year, 59% after three, 51% after five, and 40% after ten. Half public and half private arrives in year six. A 30% public share arrives after year fifteen on every policy counsel ran, without selling shares.

Two levers shorten that. The lot-level basis report from Strand 02 may show shares that convert to private sleeves at a 1% to 3% tax cost. And distributions from the first deals compound into the next.

The policy

Deploy to a named deal on the day it reaches its gates. Between deals, pay the line down, so the balance drifts lower whenever the calendar is quiet and the collateral pool stays deep. Holding the line instead of retiring it is worth about one year of allocation and about USD 8,000 a year of expected return, which is small enough that the choice is about risk rather than return. At USD 450,000 a year the family deploys a whole line's worth every seventeen months without borrowing another dollar, and that is the loan memo's safety argument written as a schedule.

What stands, and what is proposed

What stands: the gross income and the arithmetic of the brackets. What is proposed: the character of the income, the part-year question, and the deploy-then-park policy, which wait on the attorney, the fiduciary, and Keaton's word.

What would show this wrong

Two consecutive years with under USD 250,000 deployed. That would mean the engine is smaller than this strand assumes, and the trajectory would be re-run from the real number.

Written together by Keaton and Kyri.